flourish in the shadow of US atomic missiles.’26 Schmidt unsuccessfully advocated the GDR joining the International Monetary Fund but ‘Honecker,’ he said, ‘believed in all seriousness that the GDR had achieved a world-class level economy and was one of the most important industrial nations in the world’.27 At the same time, however, ‘he was worried about the low exchange rate of the DDM and the GDR’s foreign exchange crisis. The desire for more Western foreign currency loans came up again and again.’28 Moreover, Schmidt wouldn’t budge from prior positions to recognise a separate East German citizenship and to elevate the West German mission in East Germany to an embassy. Schmidt extended an invitation for Honecker to visit Bonn, and other than banal generalities, there was no substantial discussion on Poland, despite the cause being seized by the new US President, Ronald Reagan, who continued his ferocious crusade against communism. During a press conference in June 1981, a UPI journalist asked Reagan if events in Poland constituted the beginning of the end of Soviet domination of Eastern Europe. Reagan answered:

I just think it is impossible – and history reveals this – for any form of government to completely deny freedom to people and have that go on interminably. There eventually comes an end to it. And I think the things we’re seeing, not only in Poland but the reports that are coming out of Russia itself about the younger generation and its resistance to long-time government controls, is an indication that communism is an aberration. It’s not a normal way of living for human beings, and I think we are seeing the first cracks, the beginning of the end.29

Just before Christmas events in Poland were calming, after a successful coup d’état installed General Wojciech Jaruzelski, a man closer to Brezhnev’s heart than any of his predecessors.30 On 13 December, Jaruzelski imposed martial law and consolidated his hold on the country by detaining scores of workers and freethinkers.